support and grants from central agencies. We have revised the prudential norms and also written to the banks to revise their norms for lending in accordance with this. We provided an additional borrowing space of 0.5 per cent of the GSDP. Electricity (Late Payment Surcharge and Related Matters) Rules and Revamped Distribution Sector Scheme are there to help them achieve efficiencies. The good thing is, the states are reacting positively and the situation is improving. So, the carrot-and-stick approach has worked.

Q. Disconnecting power appears to be a very bold move. But electricity is a sensitive subject and there is politics too.

There is no exemption for anyone... the entire system is automated and rule-based. Even if I want to game it, I can't. When disconnection happened for the first time, many chief ministers and ministers (including

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those of the BJP-ruled states) called up to seek exemptions. I had to say sorry. If discoms don't pay upfront, then their access to electricity markets is curtailed, progressively.

Q. You had plans to introduce direct benefit transfers and revolutionise appointments of state regulators along with amendments to the Electricity Act. What's the status on these fronts?

Amendments to the Electricity Act went through parliamentary procedures.... The new bill will be tabled soon. And in many states, "loyalists" get the regulator's position and we want to bring more robust decision-making there. ■

WHY DISCOMS WENT DOWN

India has a complex electricity sector where multiple entities—owned by the Centre, states or private companies—are involved in the generation, transmission and distribution of power. Generation companies, or gencos, such as NTPC Limited, run power plants, while transmission companies, or transcos, operate the high-voltage transmission lines. There are 56 state-owned discoms and 16 in the private sector besides smaller agencies providing last-mile supply to end-consumers, while dealing with gencos and transcos at the backend.

Political compulsions have conventionally forced state-owned discoms to keep tariffs for certain groups like residential consumers and farmers low. They were compensated either through cross-subsidisation, that is, industry and other commercial users paying a higher price for power, or via subsidies from their respective state governments. The cumulative power subsidy bill of states, in fact, has ballooned from Rs 75,608 crore in FY16 to Rs 1.34 lakh crore in FY23. But the delay in the disbursal of these subsidies—which in many cases lingered on for years—along with delays in the recovery of bills from government departments directly impacted the cash flow of discoms.

It's a vicious circle. Now, the states have to clear the subsidy dues upfront and reflect the true cost of supply in tariffs. But they themselves are caught in high debt, with most states breaching the 30 per cent threshold for the debt to GSDP ratio. Cash-strapped Punjab, for instance, is dealing with losses of Rs 4,700 crore incurred by the Punjab State Power Corporation Limited (PSPCL) in FY23. According to reports, the discom had to take Rs 800 crore debt to clear dues and avoid disconnection of power, while waiting for the Aam Aadmi Party (AAP) regime to clear the subsidy bill. The new Congress regime in Telangana has also set the alarm bells ringing by claiming that both its discoms are bleeding with cumulative losses of Rs 62,461 crore. The three discoms in BJP-ruled Uttar Pradesh, meanwhile, are saddled with accumulated losses of about Rs 70,000 crore. And, nationally, the combined losses of the power distribution sector stood at Rs 5.41 lakh crore at the end of FY23.

Compounding the problem was the fact that financial institutions, deeming the discoms as too risky, stayed away from lending for more than a decade. In dire straits, discoms delayed payments to transcos and gencos, resulting in operational debt and, in fact, increasing borrowing costs further. This left them with just one other option—load-shedding.

It's a situation the country can ill afford at a time it needs more and more electricity to light up homes and run factories. India has added about 100 million households to the electricity network in the past decade. In 2023, the peak power demand met (or the highest supply of electricity) touched a record 240 GW on September 1, even as the country's average shortfall in electricity stood at 0.6 per cent.

THE ROAD TO REFORM

It was this tangled mess that Singh inherited when he took over as the minister of power in 2017. At the time, only a fifth of the country's discoms had cash flows healthy enough to purchase the electricity they were supplying to consumers. Singh's first task, therefore, was to enable discoms to clean up their act. To do so, the ministry decided to adopt a carrot-and-stick approach. In June 2022, the government issued the Electricity (Late Payment Surcharge and Related Matters) Rules, which allowed discoms to clear legacy dues by FY26 in a phased manner. Meanwhile, the 15th Finance Commission made an additional borrowing space of 0.5 per cent of GSDP available to the states, provided they agreed to carry out power sector reforms.

Another carrot offered to the states was the Revamped Distribution Sector Scheme, launched in 2021 with an outlay of over Rs 3 lakh crore and estimated gross budgetary support of Rs 97,631 crore over five years. Existing schemes were merged to